PROSPECT LITHIUM ZIMBABWE (PRIVATE) LIMITED
versus
ZIMBABWE REVENUE AUTHORITY

HIGH COURT OF ZIMBABWE
**MUSITHU J**
HARARE: 23 September 2025 & 1, 8, 15, October 2025 & 6 November & 5 January 2026

***Urgent Chamber Application-Interdict***

*M Tshuma & D Ndawana,* for the applicant
*S Bhebhe & H Muromba,* for the respondent

**MUSITHU J:**

**1.** Before the court is an urgent chamber application for an interdict. The dispute which gave rise to the application is concerned with the applicant's liability for mining royalties and export levy arising from the applicant's mining operations during the periods January 2023 to March 2024 and January 2024 to March 2025.

**2.** The applicant sought, in the interim, that the respondent be interdicted from instituting or pursuing any collection measures pursuant to a special warrant issued on 28 July 2025 in respect of the export levy. It also sought the same relief in respect of special assessments raised on 29 July 2025 in connection with mining royalties for the aforementioned period.

**3.** On the return date, the applicant sought the confirmation of the provisional order; a *declaratur* that the demand for payment of royalties issued by the respondent on 13 June 2024 was unlawful and therefore ought to be set aside, and that the assessments issued on 29 July 2025 be set aside; and lastly that the assessment issued under a special warrant in respect of the export levy be set aside also.

**Background and the applicant's case**

**4.** The applicant's case as set out in its founding affidavit was that sometime in April 2024 and July 2025, the respondent carried out audits into the applicant's compliance with its statutory obligations relating to payment of royalties and export levy for its mining operations.

**5.** Following the audit, the respondent determined that the applicant had understated mining royalties resulting in a principal debt of US$18, 371, 756.15 and ZIG 51, 021, 285.22 for the period 1 April 2023 to 31 May 2024. The respondent averred that the applicant had improperly computed its mining royalties in contravention of s 37(9) of the Finance Act [*Chapter 24:03*] (the Finance Act).

**6.** On its part, the applicant averred that in terms of s 37B of the Finance Act, No. 7 of 2021 and the Respondent's Public Notice Number 7 of 2021, being the legislation applicable at the time of the audit, the methodology for determining rates of royalty for specific minerals or mineral bearing ores was to be calculated by using the invoice value as determined by the Minerals Marketing Corporation of Zimbabwe (MMCZ).

**7.** The applicant calculated and paid royalties based on the MMCZ approved valuation. In issuing its assessments, the respondent allegedly refused to adopt the MMCZ valuation as required by s 37B of the Finance Act, and instead substituted its own valuation which was based on an arbitrary interpretation of the law.

**8.** The respondent's assessments were also attacked on the grounds that they did not show whether they were original or amended assessments, which was a requirement at law. The applicant objected to the assessments on 6 August 2025. According to the applicant, the objection appeared to have been disallowed although the respondent did not advise the applicant of its procedural rights. The omission was material to the extent that it deprived the applicant of the ability to exercise its right to object effectively.

**9.** The applicant accused the respondent of refusing to act reasonably by insisting on the immediate payment of what it alleged to be the outstanding royalties due for the relevant tax periods.

**10.** As regards the **export levy** dispute, the applicant's position was as follows. It was obliged by law to pay the prescribed 1% export levy. In the past, the levy was raised and paid at the country's border posts when bills of entry were processed. In the first six months of 2024, the respondent failed to raise the levy at the border posts when exports were being processed. This prompted the applicant to seek clarification from the respondent's Large Clients Office.

**11.** The respondent directed the applicant to reverse all submitted levy returns in the Tax and Revenue Management System (TaRMS), by amending them to nil. The applicant complied with the directive in good faith.

**12.** Despite the directive, the respondent was not demanding not only payment of the export levy principal amount, but also interest and penalties. Although the respondent did not contest liability for the levy itself, it disputed liability for interest and penalties which arose solely because of the respondent's own failure to process the levy correctly and its contradictory instructions.

**13.** The procedure for enforcing payment through the special warrant was further impugned on the basis that the applicant had objected to the amounts contained in the special warrant.

The respondent had failed to obtain an order of court which was a requirement for purposes of enforcing special warrants. The demand for payment under the circumstances offended the provisions of the **Revenue Authority Act [*Chapter 23:11*] (RAA)**, effectively rendering the applicant's conduct unprocedural and unlawful.

**14.** On the issue of urgency, the applicant averred that if this court did not intervene as a matter of urgency, the applicant would suffer irreparable harm as its bank accounts were likely to be garnished by the respondent. The applicant would be disabled from conducting its business. The amounts sought to be unlawfully garnished were significant and would have disastrous effects on the applicant's cash flows and affect its ability to conduct business operations.

**The Respondent's Case**

**15.** The application was opposed on the following bases. The respondent conducted an audit into the applicant's tax affairs for the period 2023 to 2025. The audit was intended to verify the applicant's compliance with its tax obligations in relation to mining royalties and export levy on the disposal of lithium. The audit focused on the payment of mining royalties as provided for under s 37 of the Finance Act, as well as the payment of a levy on local sales and export of listed minerals. Lithium was one of the listed minerals.

**16.** The audit established that in relation to the payment of royalties, the applicant was incorrectly calculating its gross sales value, upon which it was then computing the royalties due, by making disallowed deductions. The deductions had the net effect of reducing the amount upon which royalties were payable. In relation to the levy on the sales of lithium, it was discovered that the applicant was not remitting the levy as was required under the law.

**17.** The respondent issued notices of assessment for mining royalties, in terms of which the amounts due were **US$7, 061, 639.82** and **ZWL138, 128,341.86**. The said amounts were arrived as follows:

- Principal due US$5, 578, 408.00 and ZWL101,238,064.70
- Interest due US$367,550.22 and ZWL16,642,664.22; and
- Penalties due US$1,115,681.60 and ZWL20,247,612.94.

**18.** With respect to the levy on the sale of lithium, the respondent issued a special warrant in the sum of US$1,994,396.10. That debt was constituted as follows:

- Principal due US$1,511,159.75;
- Interest due US$105,446.41;
- 25% penalty US$377,789.94.

**19.** On 27 August 2025, the respondent wrote to the applicant reminding it to settle its tax liabilities, as well as advising it of the consequences of non-payment. Another reminder was dispatched on 15 September 2025, advising the applicant to settle its royalties. It was that communication that prompted the applicant to approach the court seeking as interim relief, that the respondent be restrained from instituting, enforcing, or pursuing any collection measures in respect of the outstanding tax obligations.

**20.** According to the respondent, the applicant was essentially inviting the court to stop the respondent from recovering the assessed tax that was due. The court was being invited to set aside administrative actions of the respondent. The respondent contended that the relief sought went against the wording of the ITA.

**21.** The respondent further averred that there was no allegation that it had acted unlawfully. On the contrary, the applicant had conceded in its papers that the respondent was clothed with powers to recover mining royalties and the levy on the sale of lithium despite any pending objections or appeals. This was in line with the ***pay now and argue later*** principle which was accepted in this jurisdiction.

**22.** Having set out the factual background germane to its case, the respondent also raised the following preliminary objections. The **first point** was that this court had no jurisdiction to grant the relief of an interdict claimed by the applicant. It was only the respondent's commissioner who had the power to suspend the payment and or collection of tax due pending the determination of an appeal.

**23.** The **second point** was that the matter was not urgent. With reference to paragraphs 6 and 7 of the applicant's founding affidavit, the respondent argued that in accordance with the

applicant's own version of events, the applicant was aware of its tax liability and obligations since 28 July 2025. This was when the audit findings, tax liability, and notices of assessment were communicated to the applicant by the respondent. A period of about two months had lapsed as at the time the application was launched.

**24.** The matter could not suddenly become urgent because the day of reckoning had finally arrived. It was further averred that at any rate, this was a case of self-created urgency, as the applicant's case arose from the applicant's own unlawful conduct of failing to pay the tax due timeously.

**25.** The **third point** was that the applicant had failed to exhaust domestic remedies. The origin of the applicant's grievances was the validity of the notices of assessment as well as the special warrant issued by the respondent. It was averred that the ITA contained inbuilt remedies which an aggrieved taxpayer who sought to challenge the correctness or validity of an assessment issued could invoke.

**26.** The **fourth point** was that the applicant was seeking final relief under the guise of an interim order. The respondent's contention was that the applicant was in the interim, seeking relief that the respondent be precluded from enforcing collection. After the granting of the interim relief, the applicant would have no further interest in the matter.

**27.** As regards the merits of the matter, it was submitted that the applicant had failed to demonstrate a *prima facie* right to bar the respondent from pursuing tax collection measures.

**28.** The respondent further averred that in terms of **s 79 of the ITA**, the production of an assessment was conclusive evidence of the said assessment and until there was a challenge of the assessment before the Fiscal Appeal Court, the said assessment remained valid and payable. The applicant was obliged to challenge the assessment before the said court, which was the competent authority to determine the issue relating to the calculation of mining royalties. However, pending that determination the respondent was mandated by law to recover the assessed tax through the statutorily provided enforcement mechanisms. Further, it was only the respondent's commissioner who could suspend collection of the assessed taxes in terms of **s 69(1) of the ITA**.

**29.** As regards the **special warrant**, the respondent argued that it advised the applicant that the export levy was being administered and collected by the customs department. For that reason, the applicant was advised not to account for the export levy in the TaRMS system. It was also for that reason that the applicant was advised to submit a nil return in

the TaRMS. That communication could not be construed to mean that the applicant was absolved from its obligation to account for the export levy.

**30.** It was further averred that the applicant had at any rate admitted to owing **US$674,924.20** in respect of the export levy, which amount it offered to settle. That amount still remained outstanding. As regards the payments allegedly made by the applicant, it was the respondent's contention that all such payments were made into the TaRMS account and these were not supported by any Bill of Entry nor a Y-assessment on the specified Minerals Levy. This position was communicated to the applicant through the respondent's letter of 22 August 2025. That communication therefore aligned with the respondent's email of June 2024 which directed that the minerals levy should not be paid into the TaRMS account.

**31.** The respondent submitted that the applicant had failed to establish a *prima facie* right not to pay the levy in circumstances where it acknowledged its indebtedness for the same.

**Developments after the parties first court appearance**

**32.** When parties first appeared before me, counsel for the respondent requested a postponement of the matter in order to prepare and file opposing papers. The applicant's counsel requested the court to temporarily suspend the threatened collection measures pending the determination of the matter. The parties agreed that any collection measures for tax heads in dispute be suspended pending further engagements between parties themselves and the determination of the matter by the court.

**33.** The court reckoned that most of the issues were of an administrative nature which could be resolved through further engagements and a reconciliation of their respective accounts in order to come up with an agreed position on the correct computations, the tax already paid and the extent of the applicant's outstanding tax liability, if any. The exercise would not only help whittle down the issues before the court but also help in identifying the extent of the applicant's tax liability, if any, and thereby leading to an amicable resolution of the matter.

**34.** The parties appeared before the court on about five occasions, and on each occasion, there was hope that after the reconciliation of accounts and figures there could be some positive outcome. On the fifth appearance, it became clear that the parties had failed to agree on their reconciliations.

**35.** Allegations were also made that the respondent had collected revenue in defiance of the court order that directed the halting of collection of the disputed amounts. The applicant

argued that the respondent was therefore in contempt of the court order. On its part, the respondent denied that it had made any collections in respect of the disputed tax heads. I directed parties to file supplementary submissions to address that point. I shall deal with the point later in the judgment.

**The Submissions**

**36.** As observed, the respondent raised preliminary points at the outset. I shall relate to these before adverting to the merits of the matter, should that become necessary.

**Whether this court has jurisdiction to determine the matter**

**37.** Mr *Bhebhe* for the respondent submitted that this court did not have jurisdiction to entertain the present application. The applicant was seeking to interdict the respondent from instituting lawful measures to collect outstanding revenue. It was further submitted that the applicant's argument about the correctness or validity of the assessments did not arise at this stage because this court was not sitting as an appeal court.

**38.** It was argued on behalf of the respondent that the commissioner's powers to collect revenue, as well as the implementation of other revenue collection mechanisms, were granted to him under the **ITA**. The court would be acting unlawfully were it to prevent the use of such powers. The Constitutional Court had already determined that a court of law had no power to suspend the payment of tax pending the conclusion of any legal proceedings.

**39.** The court was referred to the authority of ***Mayor Logistics* v *Zimbabwe Revenue Authority* CCZ 7/14,** where it was held that a court of law would be usurping the powers of the commissioner and acting unlawfully were it to exercise the discretionary powers of the commissioner by ordering a suspension of a taxpayer's obligation to pay tax pending the determination of an appeal. See also ***Zimbabwe Revenue Authority* v *Packers International (Private) Limited*** SC 28/16; ***Delta Beverages (Pvt) Ltd* v *ZIMRA*** CCZ/08/25.

**40.** It was further submitted that based on the principle of ***generalia specialibus non derogant,*** the court could not interfere with the powers of the commissioner to collect revenue because there was a specific provision of the law that laid down the procedure to be followed if one desired the suspension of payment of the assessed tax. The legislature had in its wisdom designated the commissioner as the only person who could suspend the obligation to pay outstanding tax.

**41.** For the above reasons, it was argued that the interim relief sought was tantamount to usurping the commissioner's powers under the ITA. It was further submitted that the application sought to circumvent the in built-mechanisms provided by the ITA for a taxpayer to challenge the assessments.

**42.** In response, Mr *Tshuma* for the applicant submitted that the issue of the jurisdiction of the court did not arise in the present matter. This court was the only forum at which an administrative dispute could be dealt with jurisdictionally. Relying on the case of *PIL* v *ZIMRA & Anor* HH 213/17, Mr *Tshuma* further submitted that the Fiscal Appeals Court was not vested with jurisdiction to hear administrative issues. The validity of the assessments in dispute could therefore be interrogated by this court.

**43.** The point was further made that where a dispute concerning the validity of an assessment arose, the jurisdiction of this court was automatically triggered. One did not have to wait for the Tax Courts to deal with the issue.

**The Analysis**

**44.** The preliminary point raised by the respondent, as I understood it, was that this court cannot grant an order that sought to interdict a lawful process that was underpinned by an enabling statutory provision. As stated already, the applicant seeks to have the respondent interdicted from instituting collection measures in respect of the outstanding mining royalties and the special levy.

**45.** The relief sought by the applicant must be understood in the context of the complaints raised against the respondent which founds the applicant's cause of action in respect of the two tax heads. I will therefore endeavour to determine the two tax heads separately.

***Mining Royalties***

**46.** In its heads of argument, the applicant averred that it sought to protect its rights to lawful administrative action as entrenched in s 3 of the Administrative Justice Act [*Chapter 10:28*] (the AJA). That provision required an administrative authority, endowed with power to take any administrative action, which may affect rights of a person, to act lawfully, reasonably and in a fair manner. The applicant further averred that the respondent had violated its administrative rights under s 68 of the Constitution as read with the AJA.

**47.** The alleged violations of the applicant's administrative rights were summarised as follows. The respondent issued invalid assessments and failed to give reasons. The respondent had issued what it termed 'amended/original assessments'. Amended

assessments were intended to correct or amend the applicant's self-assessments to reflect what the respondent believed was the correct tax payable. Original assessments on the other hand were issued where a taxpayer had not issued a return in terms of s 37 of the ITA.

**48.** The applicant's complaint was that the assessments issued by the respondent did not tell the applicant whether it had issued original or amended assessments. This was relevant as the applicant needed to know whether its returns had been invalidated thus necessitating the issuing of original assessments, or whether the respondent had amended an existing assessment, and if so which assessment it was.

**49.** It was further contended that the failure to clarify the type of administrative action that was taken had legal consequences for the applicant as it hampered its ability to adequately object to the assessments issued on it. The figures contained in the assessments were lumped up figures with no explanation, which rendered the assessments fatally defective.

**50.** Further according to the applicant, the issue was evidenced by the respondent's letter of 15 September 2025 in which the respondent demanded immediate payment of what it alleged to be outstanding tax liabilities in the sum of **US$7, 061, 639.82** and **ZWG138,128,341.86**. The figures were inconsistent with the respondent's own TaRMS system which reflected liabilities of **US$13 million** and **ZWG65 million**. The applicant averred that the procedural irregularities and incoherent numbers made it impossible for the applicant to verify the numbers or object meaningfully.

**51.** The question of the validity of an assessment is not a matter which would arise for determination at this stage of the proceedings, since this court is not sitting as an appeal court. It is a matter that the court seized with the appeal must resolve.

**52.** Further, s 79 of the ITA creates a presumption of the validity of an assessment. It states that the production of <u>any document</u> purporting to be a copy of an extract from any notice of assessment shall be conclusive evidence of the making of such assessment. It is also deemed to be conclusive evidence that the amount and all particulars of such assessment appearing in such document are correct. The assessment therefore remains valid by operation of law until a court of law decides otherwise.

**53.** It follows that if this court were to be invited to interrogate the validity of an assessment at this stage, then it would be straying into the same issues that the appeal court, which

would have the benefit of all accounting records and documents placed before it, must deal with.

**54.** It is not in dispute that on 6 August 2025, the applicant objected to the same assessments that it seeks to have impeached herein. The applicant claimed that the objection "appeared to have been disallowed", but the respondent did not advise the applicant of its procedural rights. At the time the matter was argued before me, the applicant had since filed a notice of appeal with the Income Tax Appeal Division under ITC14/25 on 29 September 2025. The present application had been filed on 18 September 2025.

**55.** It followed that at the time the urgent chamber application was filed, the applicant had partly subjected itself to the inbuilt remedies availed under the ITA by lodging an objection. At the time that the matter was argued, the applicant had all but pursued its right to challenge the commissioner's decision by filing an appeal with the Income Tax Appeal Division.

**56.** By subjecting itself to the objection and appeals process under the ITA, the applicant effectively brought itself within the ambit of the ***"pay now and argue latter principle"***. That principle is an encapsulation of s 69 of the ITA which states that:

> **"69 Payment of tax pending decision on objection and appeal**
> (1) The obligation to pay and the right to receive any tax chargeable under this Act shall not, unless the Commissioner otherwise directs and subject to such terms and conditions as he may impose, be suspended pending a decision on any objection or appeal which may be lodged in terms of this Act.
> (2) If any assessment or decision is altered on appeal, a due adjustment shall be made, for which purpose amounts paid in excess shall be refunded and amounts short paid shall be recoverable."

**57.** The income tax architecture, as embodied in the above provision, and indeed several other provisions of the ITA is anchored on the presumption of the validity of the commissioner's decisions. Once the taxpayer submits to the inbuilt domestic remedies which are initiated through the raising of an objection, then they must see through that process as set out in the ITA.

**58.** Lamentably for the taxpayer, that process gives the commissioner overarching powers and wide discretion to decide whether to suspend the obligation to pay tax pending a decision on an objection or appeal. The correctness of the commissioner's decision does not arise at that stage. That is not to say that the commissioner's decision may not be wrong. The legislature was aware that the commissioner's decision could be wrong. This is why s 69(2) above permits a refund of excess amounts paid if an assessment is altered on appeal. The reason for this seemingly awkward position of the law is to allow

**59.** In the case of *Delta Beverages (Pvt) Limited* v *ZIMRA* HH 811/16 at pages 6-7, the court made the following apposite remarks:

> "It would be folly to suspend the obligation on the basis that there is a pending appeal for the reason that whatever the outcome the applicant has other remedies at its disposal. The lawful conduct of the respondents of assessing tax in terms of the law cannot be interdicted on urgent basis."

**60.** The commissioner's powers, arbitrary as they may seem to be, must be exercised within the letter and spirit of the law that confers him with those powers. The court will only interfere where the commissioner has acted outside of the law. In *Mayor Logistics* v *ZIMRA* CCZ 7/24, the court made the following apposite remarks:

> "The legislature decided to place the responsibility of deciding whether or not the particular circumstances of a taxpayer, entitle him or her to a directive suspending the obligation to pay the assessed tax, on the Commissioner. A court of law would be acting unlawful if it usurped the discretionary powers of the Commissioner and ordered a suspension of the obligation on a taxpayer to pay assessed tax pending determination of an appeal by the Fiscal Appeal Court." See also *ZIMRA* v *Packers International (Private) Limited* SC 28/16.

**61.** This court must therefore be careful not to stray into an area that is exclusively a preserve for the commissioner to exercise discretion. Courts have time and again been exhorted to exercise restraint in hearing and deciding matters that are the subject of a legal process before an administrative tribunal or body. See also *Delta Beverages (PVT) LTD* v *ZIMRA* CCZ 08/25.

**62.** It was also the applicant's argument that its rights to lawful administrative action as entrenched by s 3 of the AJA were violated. Section 3(1)(a) requires an administrative authority which has the responsibility or power to take any administrative action which may affect the rights, interests or legitimate expectation of a person to act lawfully, reasonably and in a fair manner. While it is correct that the Tax Courts do not exercise review powers as the High Court, it does not necessarily follow that every administrative decision made by an administrative authority must unavoidably fall for determination under the AJA.

**63.** Section 4(1) of the AJA subjects the application of that Act to any other law. It follows that where for instance the law under which an administrative authority is established clearly delineates the remedies that must be pursued by an aggrieved party in challenging the decision of that administrative authority, the court must be careful not to arrogate to itself under the guise of enforcing the provisions of the AJA, the powers that the administrative function must exercise in carrying out the administrative act.

**64.** A violation of an administrative right indeed clothes this court with jurisdiction to interfere in terms of the AJA. Be that as it may, it must be recalled that appeals to the Special Court for Income Tax Appeals are appeals in the wider sense which take the form of re-hearings of the matter. See *PIL (PVT) LTD* v *ZIMRA* HH-213/17 and *Sommer Ranching (Pvt) Ltd* v *Commissioner of Taxes* 1999 (1) ZLR 438 (SC) at 443A-B, (1999) 61 SATC 472 (ZSC) at 477. The court will therefore be at large to interrogate, in the exercise of its wide powers in determining the appeal, those matters that would have been the subject of a separate review process.

**65.** The court determines that the applicant failed to demonstrate that the respondent acted in an unlawful manner which would justify an approach to this court to grant the interim relief sought by the applicant in respect of the mining royalties claim. What the applicant is essentially seeking is an order interdicting the collection of revenue pending the determination of the appeal that it has since noted with the Special Court for Income Tax Appeals. In doing so, the court would be usurping the powers of the commissioner under s 69(1) of the ITA, a task which this court cannot competently do.

**Export Levy**

**66.** The applicant's complaint was concerned about the respondent's failure to follow the procedure in respect of special warrants issued. The applicant averred that the procedure for the issuance of a special warrant was provided for under s 33A of the **Revenue Authority Act [*Chapter 23:11*] (the RAA)**. That section required that once a special warrant was issued, the respondent had to approach a court of law to enforce it.

**67.** The applicant also argued that the respondent failed to disclose the provision which it relied on to issue special warrants, as well as the administrative rights afforded to the applicant in respect of the consequences of the special warrant. The effect of such an omission was to render the document fatally defective.

**68.** At the time the application was argued, both counsels agreed that the only outstanding issues on the export levy pertained to the applicant's liability for penalties and interest. The levying of penalties and interest, and by extension the waiving, cancellation or reduction of penalties and interest are matters that involve the exercise of discretion by the commissioner.

**69.** In its own words, the applicant averred that it had objected to the amounts specified in the special warrants. In paragraphs 58 and 59 of the founding affidavit, the applicant said:

"58. The respondent has issued a special warrant and from that special warrant has made a demand for immediate payment. This is despite the fact that the Applicant has objected to the amounts as contained in the special warrant, and the Respondent has failed to obtain an order of court to enforce the special warrant which is a requirement of all special warrants.

59. The Respondent's demand for collection of amounts due in the face of the Applicant's objection and with the Respondent having failed to follow due process as provided for in the Revenue Authority Act [23:11] renders the Applicant's conduct unprocedural and unlawful and has the effect that the Respondent has resorted to self help to recover the amounts that it seeks." (Underlining for emphasis)

**70.** As already observed in respect of the applicant's claim for an interdict against the enforcement of the assessments for collection of mining royalties, once the applicant submitted to the domestic remedies that are initiated through an objection to the commissioner's decision, the court cannot interfere with that process by way of an interdict because it is sanctioned by the law. It is only at the appeal stage that the court in exercising its appeal powers can interfere with the commissioner's decision.

**71.** For the same reasons which were underscored in the applicant's case motivating the claim for an interdict in respect of the collection of mining royalties, the court determines that it would be interfering with a lawful process were it to interdict the collection of penalties and interest in respect of the late payment of the export levy.

**72.** The question of the applicant's liability for penalties and interest in respect of the late payment of the export levy must be dealt with at the appropriate forum.

**Allegations of contempt of court**

**73.** As remarked earlier in the judgment, the court directed a suspension of the collection of revenue in respect of the two tax heads for the tax periods in dispute pending the determination of the matter by this court.

**74.** The applicant alleged that on 7 October 2025, the respondent collected the sums of US$587,353. 49 and ZWG2, 889, 472.83 from the applicant's account. On 9 October 2025, the respondent is alleged to have collected the sums of US$121, 296.16 and ZWG599,434.25, again from the applicant's account.

**75.** It was further alleged that on 26 February 2025, the respondent directed the applicant to upload certain VAT returns for the period June 2023. Pursuant to this directive, the applicant duly uploaded the relevant VAT return as instructed. It was only after the institution of the current proceedings that the respondent purported to effect collections in relation to the same return that it had expressly directed the applicant to upload on TaRMS.

**76.** The respondent denied the allegations of contempt of court arising from its conduct or the operation of the TaRMS system. It averred that the applicant made some payments through the old SAP system prior to the introduction of the TaRMS system. This resulted in the applicant having carried over balances in the TaRMS system in the sum of US$8, 336, 259.07 and ZWG9, 783, 307.14. After the applicant filed its tax returns, the amount was utilised to settle its outstanding tax obligations. This position was allegedly explained to the applicant through correspondence and at the meeting that the parties held as part of the court directed account reconciliation exercise.

**77.** When the parties appeared before me, I had directed that they must carry out a reconciliation of the applicant's tax portfolio to determine the correct status of these amounts allegedly collected in violation of the court order. Still the parties failed to agree on whether the alleged collections were in respect of the tax period in dispute and therefore the subject of the present proceedings.

**78.** The court's view is that the stalemate concerning the status of the collections allegedly made during the time that this matter was pending before the court can only be fully ventilated in the context of the broader dispute concerning the extent of the applicant's liability for mining royalties during the tax period in dispute. The factual contestations require that oral and documentary evidence be placed before the court hearing the dispute concerning the applicant's liability for mining royalties and the extent thereof.

**79.** I say so because there appears to be misunderstanding concerning the operation of the TaRMS system and the accounting for taxpayer payments under the various tax heads. According to the respondent, when taxpayers make payments to the respondent, those payments do not credit several accounts or different tax heads as would be contemplated by the taxpayer. Instead, all the taxpayer payments for the several taxes in respect of which the taxpayer has outstanding tax liabilities are credited into a single TaRMS account.

**80.** Further, according to the respondent, the logic behind the single account in TaRMS is that all tax payments relating to the taxpayer are deposited into the respondent's single bank account and are allocated to outstanding tax debts as determined by the commissioner or by priority as determined by the commissioner. It follows that under the TaRMS system taxpayers no longer have the election to dictate how their payments should be allocated to their outstanding tax liabilities under the various tax heads. That prerogative vests with the respondent.

**81.** What that entails is that there must be a systematic and methodical way of accounting for the tax revenue that the respondent would have collected from taxpayers and allocated to other tax heads in accordance with its priority list for tax payment allocations to avert disputes of an accounting nature. In my view, it should be the easiest of tasks for the respondent and the taxpayer to reach agreement after a reconciliation process, on how payments made by the taxpayer towards the discharge of its tax liability were allocated in accordance with the respondent's priority list for tax payment allocations. These are matters which must be dealt with at the appeal stage, with the appeal court having the benefit of all relevant accounting information.

**82.** In view of the intricate nature of the TaRMS system and the fact that the respondent retains full control over the allocation of tax payments in accordance with its priority list for tax payment allocations, the court could not conclusively determine whether the collections made from the applicant's accounts were in respect of the same tax liability and same tax period under consideration by the court.

**Disposition**

**83.** The court determines that there was merit in the respondent's preliminary point that this court cannot grant an interdict in respect of a lawful process. The applicant failed to demonstrate that the applicant's conduct was unlawful so as to invite this court to exercise its discretion and grant the relief of an interdict to suspend the collection of revenue.

**84.** Having reached this conclusion, it is unnecessary for the court to traverse the remaining preliminary points and the merits of the matter.

**85.** Costs follow the event, and the court finds no reason to depart from this general principle.

**Resultantly it is ordered that:**

1. The application is hereby struck of the roll for being improperly before the court.
2. The applicants shall bear the respondent's costs of suit on the ordinary scale.

**MUSITHU J:……**

*Gill, Godlonton & Gerrans*, legal practitioners for the applicant
*Kantor & Immerman*, legal practitioners for the respondent